

business, management, and financial traits. Price and value are not necessarily equal. If the stock market were always efficient, prices would instantaneously adjust to all available information. Of course we know this does not occur—at least not all the time. The prices of securities move above and below company values for numerous reasons, not all of them logical.

Theoretically, the actions of an investor are determined by the differences between price and value. If the price of a business is below its per-share value, a rational investor will purchase shares of the business. Conversely, if the price is higher than value, that investor will pass. As the company moves through its economic value life cycle, the analyst will periodically reassess the company's value in relation to market price, and buy, sell, or hold shares accordingly.

In sum, then, rational investing has two components.

1. What is the value of the business?
2. Can the business be purchased at a significant discount to its value?

Determine the Value

Through the years, financial analysts have used many formulas for calculating the intrinsic value of a company. Some are fond of various shorthand methods: low price-to-earnings ratios, low price-to-book values, and high dividend yields. But the best system, according to Warren Buffett, was determined more than 70 years ago by John Burr Williams in his book *The Theory of Investment Value*. Paraphrasing Williams, Buffett tells us that the value of a business is determined by the net cash flow expected to occur over the life of the business discounted at an appropriate interest rate. “So valued,” he says, “all businesses, from manufacturers of buggy whips to operators of cellular telephones, become economic equals.”²⁸

The mathematical exercise, Buffett tells us, is very similar to valuing a bond. A bond has both a coupon and a maturity date that determines its future cash flows. If you add up all the bond's coupons and divide the sum by the appropriate discount rate (the interest rate of the bond's maturity), the price of the bond will be revealed. To determine the value of a business, the analyst estimates the coupons (owner earnings' cash flow) that the